THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH-II

NEW DELHI

CO. APPL.(CAA) 106/ND/2017

IN THE MATTER OF:

1. M/s Augite Estate Private Limited
   Having registered office at
   75-E Himalaya House, 23 Kusturba Gandhi Marg
   New Delhi-110001

Applicant No.1/Transferor Company

AND

2. M/s Moonlight Facilities Private Limited
   Having registered office at
   D-26, Defence Colony
   New Delhi-110024

Applicant No.2/Transferor Company

AND

3. M/s Ostrich Estate Private Limited M/s Moonlight Facilities Private Limited
   Having registered office at
   D-26, Defence Colony
   New Delhi-110024

Applicant No.3/Transferor Company

WITH

4. M/s India Ink Developers and Realtors Private Limited
   Having registered office at
   D-26, Defence Colony
   New Delhi-110024

Applicant No.4/ Transferee Company

CORAM:
MS. INA MALHOTRA, MEMBER (JUDICIAL)
DR. V.K SUBBURAJ, MEMBER (TECHNICAL)

PRESENT- Mr. Prashant, Advocate

Order Delivered on- 21.05.2019

ORDER
PER SMT. INA MALHOTRA, MEMBER (J)

This is a joint petition filed by way of a 1st Motion under Sections 230-232 of the Companies Act, 2013 (hereinafter referred to as 'the Act') by M/s Augite Estate Private Limited (Applicant No.1/ Transferor Company No.1), M/s Moonlight Facilities Private Limited (Applicant No.2/ Transferor Company No.2), M/s Ostrich Estate Private Limited (Applicant No.3/ Transferor Company No.3, in connection with the Scheme of Amalgamation (hereinafter referred to as 'the Scheme') for merging its business with M/s India Ink Developers and Realtors Private Limited (Transferee Company/ Applicant No.4)

2. As per averments, the registered offices of the Transferor as well as that of the Transferee Companies are situated in the National Capital Territory of Delhi, falling within the territorial jurisdiction of this Court.

3. The Applicant No. 1 / Transferor Company was incorporated under the Act on 1st November, 2004 under the name and style of "Augite Estate Private Limited" having CIN U45201 DL2004 PTC130278. Its authorized share capital is Rs. 10,00,000/- while its subscribed and paid up capital is Rs. 1,00,000/- divided into 10,000 equity shares of Rs. 10/-each.

The main object of Applicant No.1 Company/Transferor Company is to carry on the business of real estate.

4. The Applicant No. 2 / Transferor Company was incorporated under the Act on 4th November, 2004 under the name and style of "Moonlight Facilities Private Limited " having CIN U74120 DL2009 PTC 195714. Its authorized share capital is Rs. 5,00,000/- while its subscribed and paid up capital is Rs. 1,00,000/- divided into 10,000 equity shares of Rs. 10/- each.

The main object of Transferor Company is to carry on the business of real estate.

5. The Applicant No. 3 / Transferor Company was incorporated under the Act on 1st November, 2004 under the name and style of " Ostrich Estate Private Limited " having CIN U45201 DL2004 PTC 130276. Its authorized share capital is Rs. 10,00,000/- while its subscribed and paid up capital is Rs. 1,00,000/- divided into 10,000 equity shares of Rs. 10/- each.

The main object of Applicant No.3 Company/Transferor Company is to carry on the business of real estate.

6. The Transferee Company/ Applicant Company No.4 was incorporated under the Act on 27th December, 2007 under the name and style of "India Ink Developers and Realtors Private Limited" having CIN U45200 DL2007 PTC171918. Its authorized share capital is Rs. 1,00,00,000 while its subscribed and paid up capital is Rs. 82,90,000/- divided into 8,29,000 equity shares of Rs. 10/-each.

The main object of Transferee Company is to carry on the business of real estate.

7. As per averments, the Transferor Companies are desirous of amalgamating with the Transferee Company and have formulated a Scheme of Amalgamation.

8. The Scheme of Amalgamation is necessitated and justified on grounds that it:-

a. The entire issued, subscribed and paid up capital of the Applicant companies is held by the same promoters;
b. The amalgamation would enable optimum utilization of funds and resources;
c. It will provide the benefit of operational synergies of the combined entity, which can be put to the best advantage of the stakeholders;

d. Improved organizational capability and leadership, arising from pooling of human capital that has diverse skills, talent and vast experience to complete successfully in an increasingly competitive industry;
e. Greater efficiency in cash management of the amalgamated entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities to maximize the shareholder value;
f. Cost saving are expected to flow from more focus operational efforts rationalization, standardization and simplification of business process, productivity improvements, improved procurement, and the elimination of duplication and rationalization of administrative expenses;
g. The amalgamated entity will have the ability to leverage on its large asset base, diverse range of products and services, and vast pool of intellectual capital, tom enhance shareholder value;
h. The amalgamated company will be in position to generate/ raise additional funds and diversify and expand into other profitable ventures with larger resources.

The Appointed Date of the Scheme is 1st July, 2017.

9. Copies of the Memorandum of Association and Articles of Association, duly authorizing the applicant companies to enter into the Scheme of Amalgamation and their latest audited Balance Sheets, as on

31.03.2016 have been filed. Provisional financials Statements ending 31.03.2017 of all applicant companies also been placed on record.

It has also been certified by the Statutory Auditors of each of the applicant companies that the Accounting Treatment as in the Scheme is in compliance with the Accounting Standards prescribed u/s 133 of the Companies Act 2013.

10. So far as the Share Exchange Ratio is concerned, in terms of the scheme, it has been determined in accordance with the Report on Valuation of Shares & Share Exchange Ratio dated 22nd June 2017, issued by G.K Kedia & Co. Chartered Accountants, New Delhi, as per the settled principles of valuation.

11. The Board of Directors of each of the applicant companies vide their respective meetings held on 5th July, 2017have unanimously approved the proposed Scheme of Amalgamation. Copy of the board resolutions passed have been filed.

12. Vide the present application, a prayer is made for dispensation of convening meetings in view of the following facts:-

A. In respect of the Transferor Company No.1 / Applicant Company No.1:-

- It has 2 shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured creditor as certified by the Chartered Accountant.

- It has 2 Unsecured creditors, Consent of 90% of unsecured creditors vide affidavits placed on record.

In view of the consent affidavits of its 2 shareholders and the consent of unsecured creditor constituting 90% of the debt, being on record, the requirement of convening the meeting of the shareholders and unsecured creditor is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

B. In respect of the Transferor Company No.2 / Applicant Company No.2:-

- It has 2 shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured creditor as certified by the Chartered Accountant.
- It has 3 Unsecured creditor who have accorded their consent vide affidavits placed on record .

In view of the consent affidavits of its 4 shareholders and 3 unsecured creditors being on record, the requirement of convening the meeting of the shareholders and unsecured creditor is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

C. In respect of the Transferor Company No.3 / Applicant Company No.3:-

- It has 4 shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured and unsecured creditor as certified by Directors.

In view of the consent affidavits of its 4 shareholders being on record, the requirement of convening the meeting of the shareholders is dispensed with. Further, as there are no secured or unsecured creditors, the question of convening their meeting does not arise.

D. In respect of the Transferee Company/ Applicant No.4

- It has 3 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured creditor as certified by the Chartered Accountant.
- It has 6 Unsecured creditors, Consent of 90% vide affidavits placed on record.

In view of the consent accorded by its 3 Shareholders and the consent of unsecured creditor constituting 90% of the debt, being on record, the requirement of convening the meeting of the shareholders and unsecured creditor is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

13. The proposed Scheme of Amalgamation is annexed along with the present application.

14. It is submitted that the proposed arrangement is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the Scheme if sanctioned by this Tribunal, will take effect from the date of on which certified copy of the order of sanctioning of proposed Scheme, passed by this Tribunal is filed with the Registrar of Companies.

15. It has also been submitted that there are no proceedings pending inquiry or investigation in respect of the applicant company.

16. While dispensing with the meetings, this Bench also directs that notices be sent to the Central Government through the office of the Regional Director (Northern Region), the Income Tax Authorities, Registrar of Companies, NCT of Delhi & Haryana, Official Liquidator and other sectoral regulators or authorities as required under sub- section (5) of section 230 of the Companies Act, 2013 who may have significant bearing on the operation of the applicant companies along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangement, and Amalgamation) Rules, 2016. Copies of the notices along with the proof of dispatch be filed before this Bench along with the affidavit of compliance.

17. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant.

As sequel to the above, the present application stands allowed by dispensing with the meetings of shareholders and unsecured creditors of the applicant companies.

-Sd-

(V.K Subburaj)

Member Technical

-Sd-

(Ina Malhotra)

Member Judicial